

- How they are managing competition

4. Expenses and fees

Before you invest, it's important to understand what fees are associated with the investment. That's because fees can eat into your overall returns, especially if the fees are based on a percentage of your investment. Vanguard index funds are some of the most popular in the investing world because of their low fees. Low fees essentially mean more profits for you as an investor. In today's world with high competition among brokerages, and new-age investing avenues through robo-advisors and the like, many brokerages are no longer charging certain fees on many of their investment offerings.

Some common fees include:

- *Brokerage account fees.* This fee type includes things like annual fees to maintain your account and subscriptions for premium account features.
- *Trade commissions.* This is a commission charged when you buy or sell certain investments like stocks or bonds.
- *Mutual fund transaction fees.* This fee is charged when you buy and/or sell some mutual funds.
- *Expense ratios.* This is an annual fee charged by different fund types (not applicable to stocks), which is a percentage of your investment in the fund. Index funds and ETFs usually have the lowest expense ratios.
- *Sales loads.* This is a sales charge or commission on some mutual funds, paid to the broker or salesperson who sold the fund.
- *Management or advisory fees.* Typically, a percentage of your investment that is paid to a financial advisor or robo-advisor.
- *401(k), 403(b), and 459(b) fees.* These are administrative fees to maintain your retirement accounts, often passed on to the plan participants by the employer.

5. Other considerations (e.g. leadership track records and media mentions)